CIC INSURANCE GROUP LTD.
We keep our word

CIC INSURANCE GROUP LTD.
CIC Plaza, Mara Road, P.O. Box 59485 - 00200 Nairobi
Tel: 020 2823000, GSM: 0722-209603/4, 0733-618117
Emergency Cell: 0722 - 204572, Sms lines: 0722 - 209484, 0734 - 209484
E-mail: cic@cic.co.ke Website: www.cic.co.ke

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12 MAR 2014
NAIROBI SECURITIES EXCHANGE LTD.

12th March 2014

The Chief Executive,
Capital Markets Authority
Embankment Plaza
3rd Floor, Longonot Road
Upperhill,
Nairobi.

Dear Sir,

RE: CIC INSURANCE GROUP LIMITED'S AUDITED RESULTS FOR THE YEAR ENDED 31ST DECEMBER 2013

In reference to the above, we enclose herewith extracts of the financial statements of CIC Insurance Group Limited for the year ended 31 December 2013.

The Board of Directors has, in its meeting held on 11th March 2014, approved and recommended to the Annual General Meeting, a First and Final dividend for the year ended 2013 of Kshs. 0.10 (2012-0.10) subject to withholding tax. The indicative dates are:

1) Book Closure - 24th June 2014
2) AGM - 20th June 2014
3) Dividend payment date - On or about 18th July 2014

Further, the Board has recommended to the Annual General meeting for approval the following items;

a) **Increase in share capital**
The Directors recommend to the shareholders for approval, to increase the Company's share capital from Kshs. 3 Billion to Kshs. 6 Billion.

b) **Bonus Share Issue**
The Directors recommend subject to regulatory approvals and that of the shareholders, to make a bonus issue in the proportion of 1 new ordinary share for every 5 fully paid up ordinary shares then held.

c) **Regional Expansion**
The Directors recommend for shareholders' approval for the formation of an insurance company in Malawi and such other subsidiaries and joint ventures as the company may deem fit subject to making applications for and

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obtaining all necessary consents, approvals, authorizations and permissions required for establishments in respective jurisdictions.

Yours Faithfully,

Gail Odongo
Group Company Secretary/ Chief Legal Officer

c.c The Chief Executive,
Nairobi Securities Exchange,
55 Westlands Road
P.O Box 43633-00100
Nairobi.

CIC INSURANCE GROUP LIMITED

THE BOARD OF DIRECTORS OF CIC INSURANCE GROUP LIMITED IS PLEASED TO ANNOUNCE THE AUDITED RESULTS OF THE GROUP FOR THE YEAR ENDED 31 DECEMBER 2013.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	2013	2012
INCOME	**KShs'000**	**KShs'000**
Gross written premiums	**11,061,282**	**9,009,893**
Gross earned premiums	10,067,665	8,168,717
Outward reinsurances	(911,983)	(880,537)
Net earned premiums	**9,155,682**	**7,288,180**
Investment income	756,848	790,514
Fees and commission income	303,354	201,282
Other income	671,216	622,017
Total income	**10,887,100**	**8,901,993**
OUTGO		
Net claims and policyholders benefits	(6,020,059)	(4, 644,801)
Commissions payable	(843,552)	(641,300)
Operating and other expenses	(2,351,499)	(1,956,564)
Total outgo	**(9,215,110)**	**(7,242,665)**
Share of results of associate	(895)	(9,737)
Profit before tax	**1,671,095**	**1,649,591**
Tax charge	(263,063)	(261,390)
Profit for the year	**1,408,032**	**1,388,201**
OTHER COMPREHENSIVE INCOME		
Surplus on revaluation of buildings	63,480	11,143
Fair value (loss)/gain on available for sale assets	(5477)	3,639
Total comprehensive income for the year	**1,466,035**	**1,402,983**
Earnings per share (Sh)	**0.67**	**0.64**

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	2013 KShs'000	2012 KShs'000
SHAREHOLDERS FUNDS		
Share capital	2,179,655	2,179,655
Share premium	598,102	598,102
Other reserves	1,329,534	933,716
Retained earnings	2,629,250	1,759,487
TOTAL SHAREHOLDERS FUNDS	**6,736,541**	**5,470,960**
ASSETS		
Property and Equipment	930,612	349,185
Intangible Assets	86,670	56,485
Investment in Associate	109,872	70,447
Investment Properties	3,894,489	2,554,472
Deferred tax asset	23,513	8,109
Receivables arising out of direct insurance arrangements	1,502,690	1,144,634
Receivables arising out of reinsurance arrangements	200,635	10,084
Reinsurers share of liabilities	1,695,350	1,965,437
Due from related parties	16,595	16,621
Deferred acquisition costs	361,527	319,930
Tax recoverable	30,241	2,450
Equity investments	282,031	203,377
Available for sale investments	14,367	19,844
Mortgage loans receivable	314,691	240,869
Other loans receivable	332,281	255,758
Other receivables	302,702	134,267
Deposits and commercial papers	517,464	423,441
Short term investments	300,808	206,937
Government securities held to maturity	2,375,683	2,101,355
Deposits in financial institutions	3,343,407	3,727,723
Cash and bank balances	457,938	258,126
TOTAL ASSETS	**17,093,566**	**14,069,551**
LIABILITIES		
Actuarial value of policyholders liabilities	2,059,131	1,650,108
Insurance contract liabilities	3,103,300	3,197,799
Unearned premiums reserve	4,070,695	3,092,113
Payables arising out of reinsurance arrangements	299,128	134,799
Other payables	792,342	444,409
Dividend payable	23,151	2,357
Tax payable	9,278	77,006
TOTAL LIABILITIES	**10,357,025**	**8,598,591**
NET ASSETS	**6,736,541**	**5,470,960**

CONSOLIADTED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2013

	2013 KShs'000	2012 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations	1,700,029	1,367,022
Tax paid	(396,873)	(283,997)
Net cash generated from operating activities	**1,303,156**	**1,083,025**
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(554,616)	(76,970)
Purchase of investment properties	(722,806)	(715,251)
Other investments	712,825	(149,840)
Net cash used in investing activities	**(564,597)**	**(942,061)**
CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid	(217,966)	(196,165)
Net cash used in financing investments	**(217,966)**	**(196,185)**
INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS	**520,593**	**(55,201)**
CASH AND CASH EQUIVALENTS AT 1 JANUARY	2,093,778	2,148,979
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	**2,614,371**	**2,093,778**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 31 DECEMBER 2013

	SHARE CAPITAL KShs'000	SHARE PREMIUM KShs'000	REVENUE RESERVE KShs'000	OTHER RESERVES KShs'000	TOTAL EQUITY KShs'000
At 1 January 2013	2,179,655	598,102	1,759,487	933,716	5,470,960
Transfer to retained earnings	-	-	100,000	(100,000)	-
Tax on transfer to retained earnings	-	-	(30,000)	-	(30,000)
Dividends paid - 2012	-	-	(217,966)	-	(217,966)
Profit for the year	-	-	970,217	437,815	1,408,032
Other comprehensive income	-	-		58,003	58,003
Others – Revaluation gain adjustment	-	-	47,512	-	47,512
At 31 December 2013	**2,179,655**	**598,102**	**2,629,250**	**1,329,534**	**6,736,541**

The audited financial statements were approved by the Board of Directors on 11 March 2014.

FINANCIAL HIGHLIGHTS

- Gross written premiums increased by 23 % over 2012 to stand at Ksh 11.1 billion. This was mainly due to acquisition of new business

- Investment and other income increased by 7% to stand at Ksh 1.7 billion mainly due to increased investment portfolio and diversification through investment in Real Estate.
- Claims incurred grew by 30% to Ksh 6 billion. This was mainly due to bad claims experience of our medical, motor private and Employee Group Life products.
- Commission expenses grew by 32% to Ksh 844 million, in line with the premium growth.
- Operating expenses rose by 20% to Ksh2.4 billion, largely due to growth in business.
- Profit before tax increased marginally as a result of increase in claims incurred and operating expenses.
- Shareholders' funds increased by 23% from Ksh 5.5 billion to Ksh 6.7 billion.
- To sustain the growth momentum, the Group is pursuing the regional expansion, micro insurance, new channels of distribution and investment diversification strategies.

DIVIDENDS

The directors recommend the payment of a first and final dividend of Ksh 0.10 per share totalling to Ksh 217,965,500 (2012- 217,965,500). The dividend is subject to shareholders' approval and payment will be subject to withholding tax. The payment will be made on or about 18 July 2014 to the shareholders registered at the close of business on 23 June 2014.The register of members will be closed for one day on 24 June 2014 for purposes of processing the dividend payment.

BONUS SHARE ISSUE

The Directors recommend, subject to regulatory approvals and that of the shareholders, to make a bonus issue in the proportion of one new ordinary share for every five fully paid up ordinary shares held.

ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of CIC Insurance Group Limited will be held at the Bomas of Kenya, Nairobi on Friday 20 June 2014.

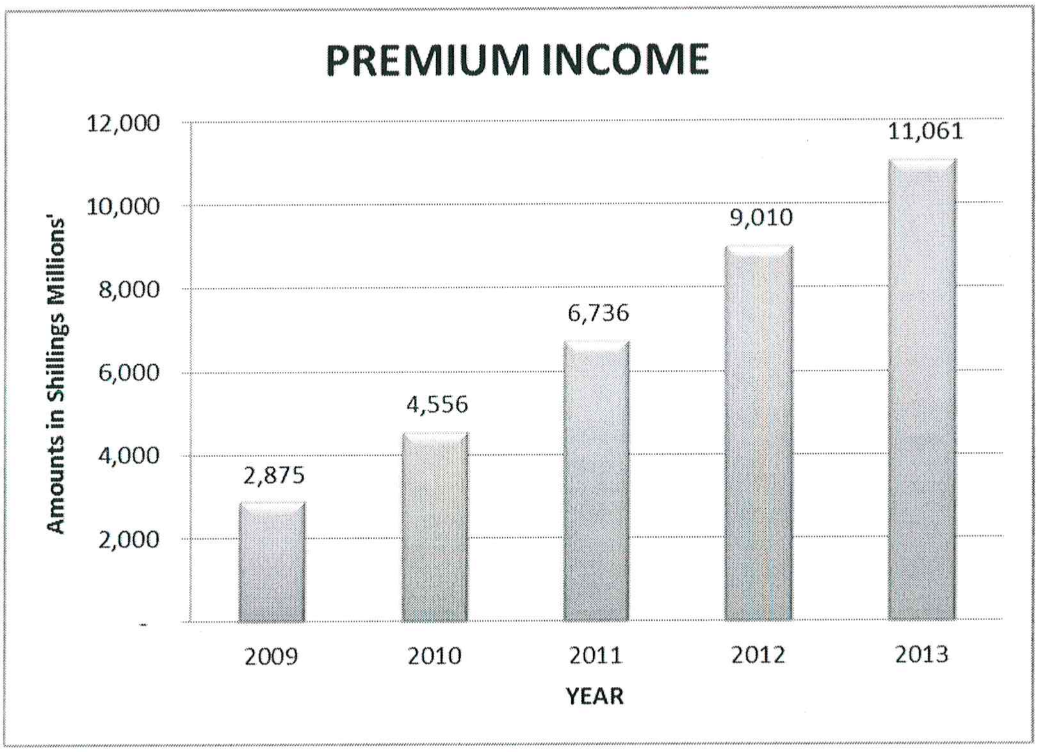
MESSAGE FROM THE DIRECTORS

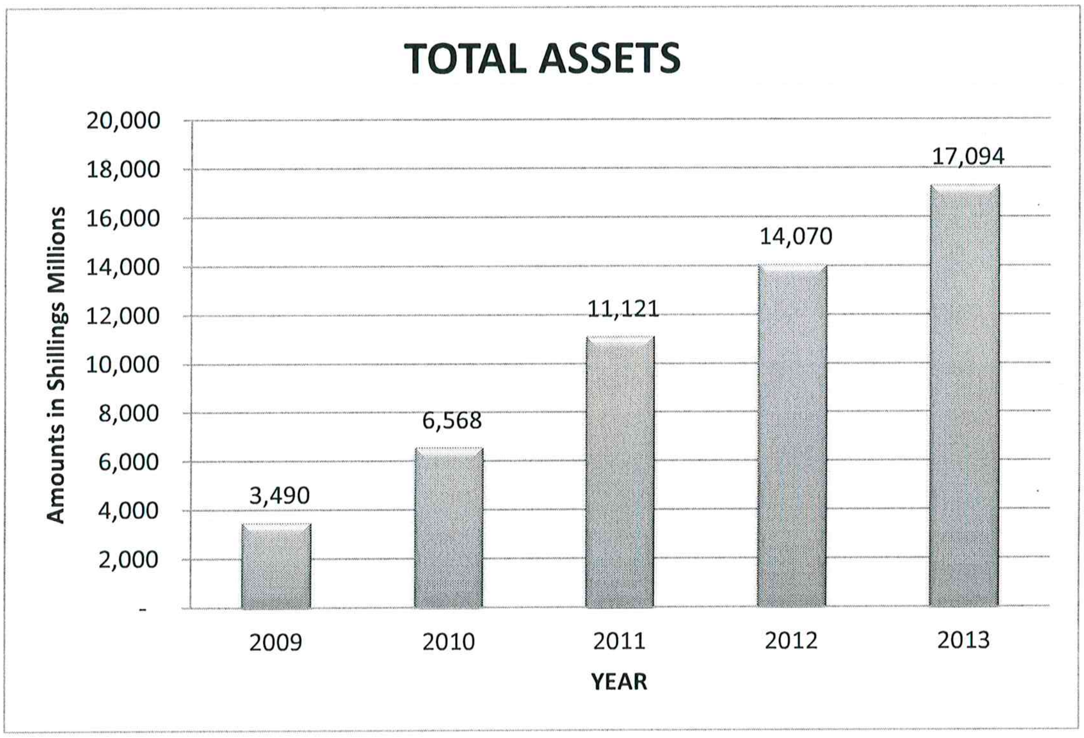
These financial statements are extracts of the financial report of the Group which were audited by Ernst & Young and have received an unqualified opinion. A full set of these financial statements will be available at our registered office at CIC Plaza and online at www.cic.co.ke for inspection after approval by members at the Annual General Meeting. The financial statements were approved by the Board of Directors on 11 March 2014 and were signed on its behalf by:

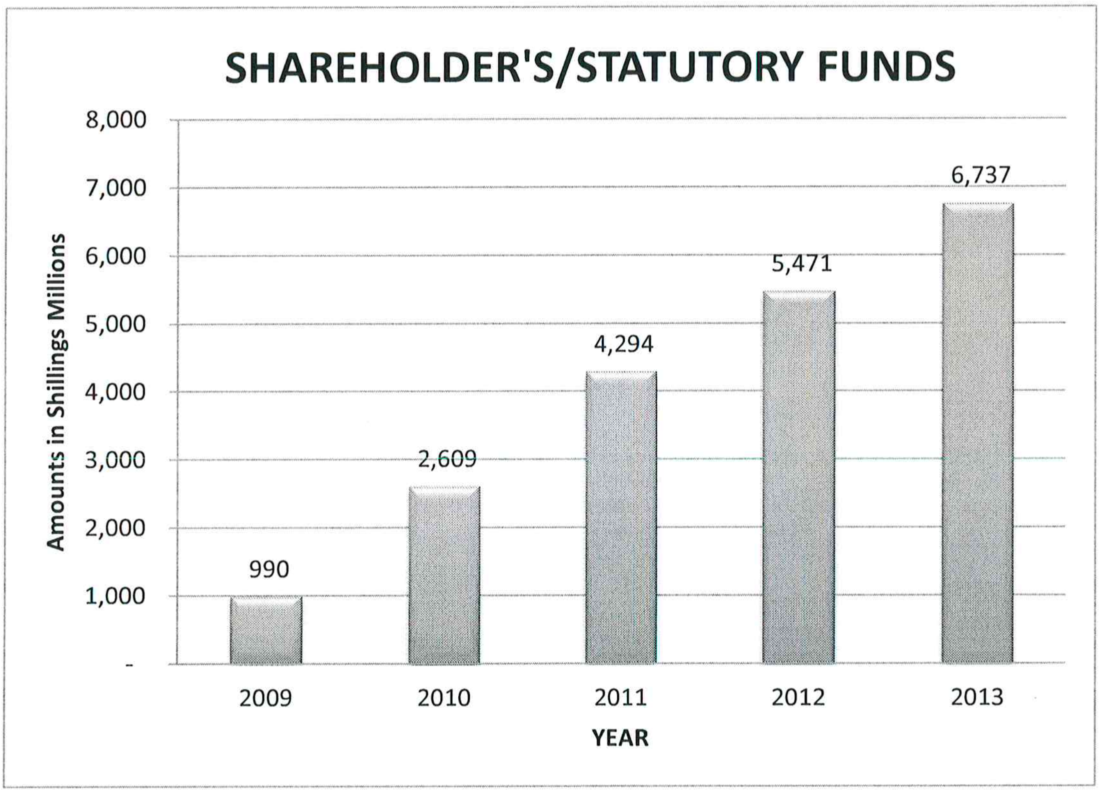
Signed: Japheth Magomere – Group Chairman Signed: Nelson Kuria – Group Chief Executive Officer

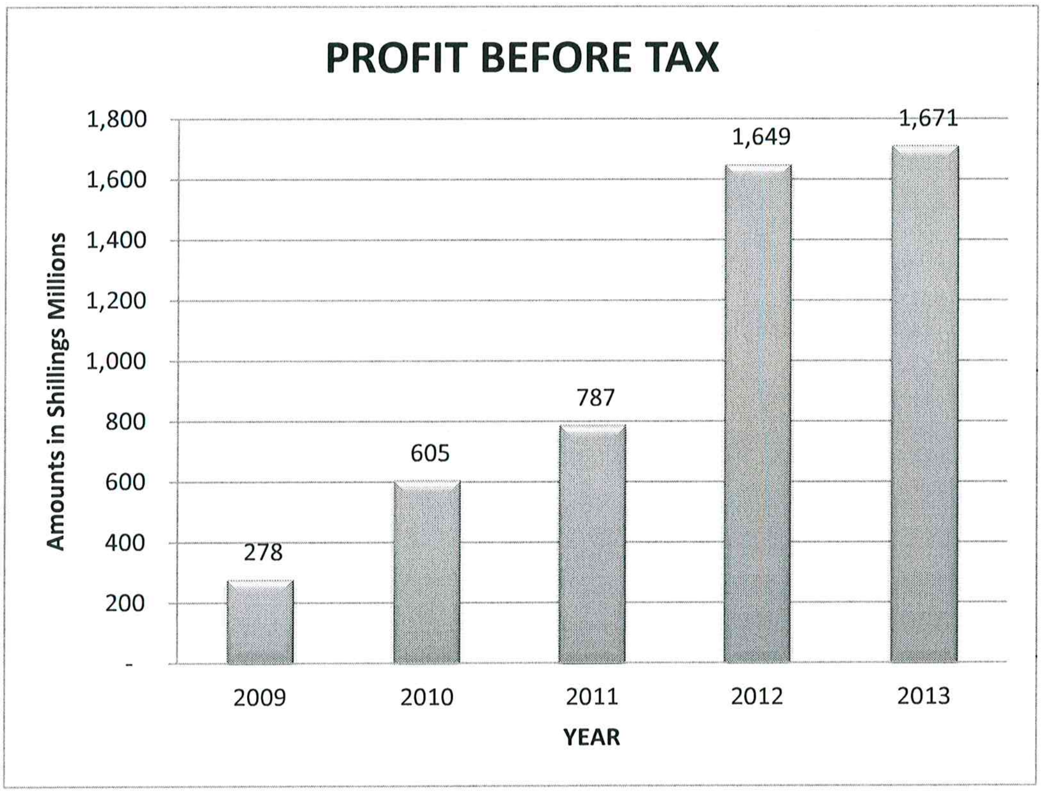
Grace Mabishi - Director

BUSINESS PERFORMANCE FOR THE LAST FIVE YEARS






SHAREHOLDER'S/STATUTORY FUNDS
Amounts in Shillings Millions
8,000
7,000
6,000
5,000
4,000
3,000
2,000
1,000
-
990
2,609
4,294
5,471
6,737
2009
2010
2011
2012
2013
YEAR


PROFIT BEFORE TAX
Amounts in Shillings Millions
1,800
1,600
1,400
1,200
1,000
800
600
400
200
-
278
605
787
1,649
1,671
2009
2010
2011
2012
2013
YEAR